

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) — Semester III Examination, 2022-23

Paper No. BCH-215: Fundamentals of Business Finance

Time: 3 Hours

Maximum Marks: 70

*Instructions: Answer all questions. All questions carry equal marks (14 marks each).***Question 1.**

Point out the meaning and scope of finance function. “The financial man should not be only money man but also a business man.” Elucidate the statement. [14]

OR

How is wealth maximisation ideal a conceptual refinement of the profit maximisation idea? How can the former be meaningfully termed in a volatile financial market? Explain. [14]

Question 2.

Mention the concept and kinds of financial planning. What are the basic characteristics of a sound financial plan for a joint-stock company? [14]

OR

“You are requested to conduct the financial planning for a new manufacturing company to be set up. What factors would you keep in mind while doing so?” [14]

Question 3.

What is capitalisation? Briefly explain its theories. [14]

OR

(a) What are the causes of watered capital? How does it differ from overcapitalisation? [7]

(b) Three companies whose Balance Sheets are summarised below are engaged in a similar business. If their current rate of capitalisation is 8%, analyse the state of capitalisation of each company:

Particulars	Company A (Rs.)	Company B (Rs.)	Company C (Rs.)
Share capital @ Rs. 10	3,00,000	2,00,000	4,00,000
Reserve and surplus	1,00,000	1,00,000	1,00,000
Current liabilities	50,000	60,000	80,000
Sundry assets	4,50,000	3,60,000	5,80,000
Average profits	30,000	24,000	42,000

[7]

Question 4.

What is the meaning of share? How is it different from stock? Briefly state the various types of shares. [14]

OR

Critically examine the role of financing through debentures. Why has it not been popular in India? [14]

Question 5.

Define working capital and discuss its determining factors. [14]

OR

Write lucid notes on any two of the following: [7+7]

- (a) Bonds and term loans
- (b) Undercapitalisation
- (c) Trading on equity